FIN 417

Dr Ogbuzile FIN 417 < Bank Lending and Loan Administration >

Introduction to bank lending

Lending is perhaps the most vital aspect of banking operation. This is because there you take a view of the banks balance sheet i.e both the debit and the Credit side of the balance sheet, these two vital elements takes utmost priorities. On the debit side, customers deposits is most prioritized. This comes in the form of:

i) Savings deposits ii) Current deposits/A/c iii) Time deposit or fixed deposit or Investment Account. These are deposit liabilities to the bank. In other words, banks owes the customers these account i.e banks are debtors at this point. On the Asset side, you have the most conspicuous element called "Loans and Advances or Credit or Overdraft". In the other market, Note: Lending Principle is also refered to as lending concept

PRINCIPLES OF LENDING. OR 6°C's of Lending.

Here are six principles of lending. i.e pillars/criteria

i) Character: Characters of the customers. — C → (Character)

ii) Purpose: purpose of the loan. — P → C (cause/causation)

iii) Amount: The money you want to borrow. — A → C (Capital.

iv) Repayment: Ability to repay the money borrowed. — R → C (capacity

v) Terms and condition: How these loans are repaid. — T → C (condition

vi) Securities: i.e collateral securities. — S → C (collateral

+ Connection

These

Character: This refers to the way and manner by which a deposit customer conduct his account going by his record with that bank / where he has an account.

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ii) Other Information gathered regarding the customers which is ordinarily beyond the purview of the bank.

* Being a bank customer is a pre-condition for getting a loan from them

1: Character: Character looks at the following:

i) The way and manner the customer conduct his account since he became a confirmed customer of the bank. Attention will be drawn to how you treat or conduct your overdraft facilities. This overdraft facilities are like loan or Credit. Do you overdraw by the permission or the repay as at when due.

2) Pre-customer investigation about you: That is, before becoming a customer banks ask alot of question about you and even require for reference

3) Trade bureaus or Trade bodies: They have bodies and they keep record and have license for membership and if there be default, the licence can be withdraw. This is one of the ways you can trace customers before loans will be given to the person. Other professional bodies or banker have record of major defaulters and CIBN also checks records.

Generally, the character of a customer is very paramount to how he/she will conduct his/her account.

2) Purpose of loan or causation (cause): What is the purpose of the loan, why do you need the loan or cause the requirement of the loan and all those questions are asked to ensure that the loans given will be repaid.

i) Consider the legality of the project you want to finance: legality means it is according or covered by the law. eg Yahoo is not approved by law

ii) Legitimacy: These are things that law does not property but is not morally okay: These are thing that are immoral and socially condemned: i.e legally (permitted) okay but not morally okay;

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) It must be bankable i.e is what bank can finance venture (i.e any project the bank want to finance must have an in-built repayment system.
) The project by itself should be able to pay back eg they can deduct he money from the customers salary.
3. Amount or Capital: This is the capital required to undertake the project
o what it cost to take up the project. Look at two things under capital:
) The amount seeking for, is it enough or adequate for the project
ote! Inadequate fund leads to project abandonement.
) What is the customers Capital contribution eg if the customer needs 500,000 borrows (₦4 million) for a project, he must at least contribute to the fund he eeds. i.e personal commitment is required at least 40% of the equired fund for the project must be contributed by the customer.
) Repayment Capacity: This explains that the customer should be seen is having the capacity to repay the loan to the banks.
ote! As a result of this, some repayment dispensations will be used or mployed by the bank to test your readiness to repay eg (i) your past ive(5) years record of income statement and (ii) also your five (5) years rojection of income which must be reliable and legitimate.
·g Stable dependable outcome for repayment must not be a product of ool betting or stock market returns because it's not reliable.
) cash flow statement for relevant period of repayment
) Loan Term and Condition of Loans:
) A bullet loan will not entail any Interest payment until maturity here borrowing customers will have to pay back the principle plus ll accumulated Interest at onces
2. Some loans or Interest bearing loans will entail the borrower

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to pay back only Interest at regular agreed Interval eg annu
bi-annual, monthly etc. until maturity when the principal will
paid.

iii) There are those that take the form of repayment of both Interest and principal every period through out until maturity i.e both Interest and principal are paid together e.g Monthly or yearly,

Illustration: Isaiah has a plan to buy a jeep valued at ~~₦5000,000~~ 5 million how much does he have to Invest at 10% Interest per annum, for five years (5) in order to achieve his dream and also shown the repayment table.

Solution.

$$PVA = A\left[\frac{1-(1+r)^{-n}}{r}\right]$$

$$\therefore A = \frac{PVA}{\left[\frac{1-(1+r)^{-n}}{r}\right]}$$

Where PVA = 5 mill
r = 0.1
n = 5.

$$A = \left\{\frac{1-(1.10)^{-5}}{0.10}\right\} = \frac{5,000,000}{\left[\frac{1-(1.1)^{-5}}{0.1}\right]} = ₦\ 1,318,987.40$$

Collateral security: This will refer to the "last resort" effort by the banks to recoup its money (cent. Note banks dont rush at collateral due to the following reas
i) To avoid the (bad public image) of having to sell customers propert
ii) It discourages other potential customers from joining the bank.
most of the bank money comes from loan.

Saving is 2% but when the bank borrowing money, it charges bankers the profit margin of 30%. Lends out the

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owever where banks to want to accept a fixed asset security, it will
nsider some of the following:
The value of the asset as reported by the borrowing customer
n the loan proposal. The bank will employ the services of an
state valuer.
Location of the asset
) the asset eg) have this house been used before to borrow credit,
) have the credit or loan been totally off-set or paid.
) The borrower has he been totally discharged i.e he does not
ave any issues.. eg having a commission of occupancy or govern
nent consent.
) Any Obligation to the government eg Tenament rate must have been paid
) the borrower. and also building permit must have been paid
Consider if the building is a lease or an outright purchase?
3. The Encumberance (limitation) or legal condition on the collateral BO ISSUES

10/22:

Topic: Analysis For Financial statement for lending purposes.
or the purpose of lending, you must understand ratio analysis.
Definition * purpose * forms * Types * Advantages and
)isadvantages / Limitation.
nancial Statement may be defined as the profit and loss and balance
heet beside other elements like cash flow statement etc.
Financial statement analysis however is the use of profit &
ss account and balance sheet to access the financial performance(s)

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aim
to test the financial strength or weakness of a firm (s).

Purpose of financial statement Analysis

The purposes of calculating the financial are three which includes:
1. To make inter-firm comparism
2. To make inter-temporal comparism
3. To make comparism btw a single bank performance and that of the industrial average.

A) Inter-firm Comparism: That is the comparism of first bank verse UBA bank operating within the same industry (banking industry) as we cannot compare UBA bank to a telecommunication servic industry

B) Inter-temporal comparism: Comparism of two periods or more eg UBA plc 2018 performance and UBA performance in 2020 when their COVID pandemic.

C) Comparism of a single firm to the average of the industry: Eg consid the performance of UBA bank 10% to the performance of the average of the industry. we have three banks. UBA 10%; first bank 15% and Zenith 20%: Total = 45% ÷ 3 = 15% which is the average of the industry. Comparing UBA bank of 10% to the 15% to you will notice that UBA is under performing. while first bank is averagly performing. and zenith bank is over performing

Forms of Ratio Analysis / Financial statement Analysis

i) Short term solvency ratio
ii) Activity ratio
iii) profitability ratio
iv) long term solvency ratio
v) stock market ratio

Note: Financial Ratio is the relationship between two pieces of financial data
*The FiR makes use of the financial data in the statement of Financial position.

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: hort term solvency ratio! This is otherwise called Liquidity ratio; It comparises of the following
) Acid test ratio ii) Current ratio iii) Net working capital.

(2:1) (2:1)
) Current ratio: Current ratio is the current Asset ÷ Current liability
3) Acid test ratio: Current Asset − Stock (1:1)
Current Liability.
.) Net working capital: Current asset − current liability.

) A current Ratio: This measures the firms ability to meet the firms obligation as the fall due.
) Acid test ratio: This measures how more-quickly a firm is able to meet its current obligation.
iii) Net working capital: This is measured in Naira. It is a removal if financial obligation from available financial assets on current basis.
2) Activity Ratio: We have the following.
) Debtor's days / Average collection period ii) Creditor's days iii) Turn-over ratios
) Stock turnover) Debtors turnover) fixed asset turnover
) Total asset turnover) Capital-employed turnover.

) Debtor's days or Average collection period: Trade debtors/sales ×365 days
) Creditor's days / Average payment period: Trade creditors/purchases ×365 days
iii) Stock turn over: cost of sales/Average stock.
where Average stock = opening stock + closing stock / 2
) Debtors turnover = sales/debtors.
) fixed asset turnover: sales/fixed asset (They are tangible asset since goodwill is excluded as goodwill is intangible asset.)
) Total Asset turnover: Sales/total asset.

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capital employed = Ordinary shares, preference shares, debenture + Long term Loan or debt retained earning. = Sales / (All long term Capital + Retained earning)

capital employed turnover / finance by capital employed

÷ profitability Ratio: 1) Return on sales (ROSA) ii) Returns on total Asset (ROTA) iii) Return on Capital employed (ROCE) iv) Return on shareholders equity (ROSE).

* Return on sales: NPBIT / sales. = Net profit b4 interest and tax / sales.

* Return on total asset: NPBIT / Total Asset. $\times \frac{100}{1}$

* Return on Capital employed: NPBIT / capital employed. $\times \frac{100}{1}$

* Return on shareholder's equity (ROSE): NPBIT / shareholders equity. $\times \frac{100}{1}$

Note: Return, earning or profit is the same.

x ROSE = EAIT / PATOSH (profit available to ordinary shareholders)

Ordinary shares + Reserve.

* NPBIT = EBIT

* EAIT = PATOSH = NPBIT − preference dividend.

Gross profit Margin : Gross profit / sales. $\times \frac{100}{1}$

Net profit Margin : $\frac{NBIT}{Sales} \times \frac{100}{1}$ (ROSA i.e Return on sales.)

Solvency Ratio's: Long term solvency Ratio / Capital Structure Ratio:

i) Proprietary Ratio: Ordinary shares + ~~Retained~~ Reserves: shares + Preference shares. (shareholders equity) / Total Asset or Total Liability (you can use any)

ii) Debt Ratio = Total Debt (short term debt + Long term debt) / Total Asset or Total liabilities.

Debt - Equity = fixed income capital (preference share + any form of debt) / ordinary shares + ~~preference shares~~. Reserve

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IV) Fixed Interest Cover: PBIT / interest on debt.

Capital market Ratio's or Stock market Ratio's:

i) Earning per share: $\frac{\text{Profit Available To ordinary Shareholders: (P.A.T.O.S.H)}}{\text{No of ordinary shares.}}$

ii) Dividend Per share: $\frac{\text{Total dividend declared.}}{\text{No of ordinary shares.}}$

iii) Dividend Yield: $\frac{\text{DPS}}{\text{Market price per share (MPPS).}}$

iv) Earning Yield.: $\frac{\text{EPS.}}{\text{MPPS}}$

v) Price/Earning Ratio: $\frac{\text{MPPS}}{\text{E.P.S.}}$

All these formulars & lending activities are questions for [SECTION A In exam].

: Analysing (Balance sheet).

Taiwo plc: Taiwo PLC.

Trading, Profit and loss and Appropriation A/c for the year ended 31st Dec 2021

		₦'000	₦'000.
Sales			1000
Opening stock.		250	
+ purchases.		200	
Total goods available for sales.		450.	
(-) closing stock		(150)	
cost of goods sold or cost of sales		300	(300).
Gross profit			700.
All expenses;	Insurance	20	
	Salaries & Wags.	30	
	Rent	40	
	Electric.	10	
		(100)	(100)
		NPBIT.	600.

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v) Fixed Interest cover: PBIT / Interest on debt.

Capital market Ratio's or Stock market Ratio's:

) Earning per share: Profit Available To ordinary Shareholders. (PAT 0.5. H

No of ordinary shares.

i) Dividend Per share: Total dividend declared.

No of ordinary shares.

ii) Dividend Yield:

$$\frac{DPS}{\text{Market price per share (MPPS)}}$$

v) Earning Yeeld.:

$$\frac{EPS}{MPPS}$$

vi) Price Earning Ratio:

$$\frac{MPPS}{E.P.S.}$$

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Total goods available for sales.	450.	
closing stock	(150)	
cost of goods sold or cost of sales	300	(300).
Gross profit		700.
All expenses; Insurance	20	
Salaries & Wages	30	
Rent	40	
Electric.	10	
	(100)	(100)
	NIBRIT.	600.

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Net profit before Interest and Tax (NPBIT)	₦'600
	600
Interest on loan	(50)
	550
Net profit before Tax.	
40% of Tax.	(220)
NPAT (Net profit After tax.	→ 330
Preference dividend	(30)
profit available to ordinary shareholders. (PATOSH)	₦300
* ordinary Dividend.	180
* Retained Earning	120
	₦300

OR

P.A.T.O.S.H	₦300
- Ordinary share	(180)
Retained Earnings.	₦120

Balance sheet. Taiwo plc.

Balance sheet as at 31/12/2021.

	₦'000	₦'000		₦'000	₦'000
Long term capital:			Fixed Asset		
ordinary shares.		500	Land & Building	600	
preference shares		300	plant & machinery	500	
Debt + (Debt + long term Liabilities)		400	fisrniture & fitting	₦400	1,500
Retained earning or Reserves		200			
		1400	Current Asset:		
Current Liabilities:			stock	150	
Trade creditor.	200		Debtors.	130	
Bank overdraft.	800		Banks	100	
Accured Exp.	250		cash	50	430
		530			
		1930			1,930

Additional Information:

The current market price of Taiwo's share is ₦1.50k per share. Total number of shares ranking for dividend and issued are 1,000,000 units. Calculate all available Ratio: as given in your note book.

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Short term solvency Ratio: < liquidity Ratio's.

Current Ration: $\frac{CA}{CL} = \frac{430}{530} = 0.81:1$

ark: This ratio measures a tability of a
n or company to meet current obligation's.
oor performance.

Acid Test = $\frac{CA - stock}{CL} = \frac{450 - 150}{530} = 0.57:1$
$= 0.57:1$

mment Average performance.

Net working capital: CA − CL = ₦430 − ₦530
$= (₦100)$; Comment → poor.

Activity Ratio:

ebtors days: $\frac{\text{Trade debtors}}{\text{sales}} \times 365 \text{ days}$.

$\frac{130}{1000} \times 365 = 47 \text{ days}$ (fair).

is fair bcos your debtors are holding
our money for a longer period.

Creditor days: $\frac{\text{Trade creditor}}{\text{Purchases}} \times 365 \text{ days}$.

$\frac{360}{360} \times 365 \text{ days} = 365 \text{ days}$ (Abnormal).

Stock turn over: $\frac{\text{cost of sales}}{\text{Average stock.}} = \frac{250+150}{2} = 200$

$\frac{300}{200} = 1.5:1$ times (It is a positive signal.

Debtors turnover = sales/debtors $= \frac{₦1,000}{130} = 7.69:1$

fixed Asset Tover = sales/Fixed Asset $= \frac{₦1000}{₦1500} = 0.67:1$ Not bad.

Total Asset T.over = $\frac{\text{Sales}}{\text{Total Asset}} = \frac{₦1000}{1930} = 0.52:1$

) Capital employed turnover: $\frac{\text{Sales}}{\text{All L.T. capital}} = \frac{1000}{1400}$

$= 0.71:1$.

3). Profitability Ratio.

i) Return on sales: $\frac{NBIT}{\text{sales}} \times \frac{100}{1} = \frac{600}{1000} \times \frac{100}{1}$
$= 60\%$.

ii) Return on total asset: $\frac{NBIT}{\text{Total Ass}} \times \frac{100}{1}$.

$\frac{600}{1930} \times \frac{100}{1} = 31.1\%$ 31%.

iii) Return on capital employed $\frac{NBIT}{\text{capital employed}} \times \frac{100}{1}$.

$\frac{600}{1400} \times \frac{100}{1} = 43\%$

iv) Return on shareholders equity $\frac{NBIT}{\text{shareholder equi}} \times \frac{100}{1}$

$\frac{\text{PATOSH}}{\text{ordinary share + Reserves.}} = \frac{300}{500+200} \times \frac{100}{1} = 43\%$

Gross profit margin: $\frac{GP/\text{sales}}{1} \times \frac{100}{1}$.

$\frac{700}{1000} \times \frac{100}{1} = 70\%$

Net profit margin: $\frac{NP}{1000} \times \frac{100}{1} = 60\%$.

$\frac{600}{1000} \times 100$

4) Long term solvency Ratio.

i) Proprietory Ratio: $\frac{\text{O. shar f Rosen + P. share}}{\text{Total Asset.}}$

$\frac{₦500 + ₦200 + ₦300}{₦1930} = 0.52\%$

ii) Debt Ratio: $\frac{\text{Total Debt (short term + long term}}{\text{Total Asset.}} = \frac{530+400}{1930}$

$= 0.48\%$.

iii) Debt - Equity Ratio: $\frac{\text{fixed income}}{\text{ordinary share}}$

$= \frac{300+400}{500+200.} = 1$

iv) fixed Interest Covered = $\frac{PBIT}{\text{Interest on debt}}$

$\frac{600}{50} = 12\%$.

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v) Stock Market Ratio

i) Eps = ₦300,000 / 1,000,000 = 0.3:1

ii) Dps = 180,000 / 1,000,000 = 0.18:1

iii) Dividend yield = DPS / MPPS = 0.18 / 1.50
= 0.12.

iv) Earnings yield = EPS / MPPS = 0.3 / 1.50 = 0.2

v) Price/Earning Ratio MPPS / EPS = 1.50 / 0.3 = 5

02/02/22. Banking Lending.

*Types of loan * Monitoring debtors.

*Risk in Lending..

*Classification of financial Statement *.

*Analysis of Balance Sheet content. i.e

Long Term Capital/Liabil	*Fixed Asset
*Equity	*Land & Building
* Debenture.	*Plant & machinery
Current Liabilities.	Current Asset
*Trade creditors	*Stock
Bank overdraft	*Debtors.

Classification of financial Statement.

namely

i) Profitability Ratio

ii) purely balance sheet ratio

iii) purely Combined ratio (P&L & Balance

Short term solvency Ration.

Current Ratio → B/Sheet ratio

Acid test → B/sheet ratio

Networking Capital → B/sheet ratio

Activity Ratio:

Debtors days → Combined ratio

Creditors days → Combined ratio

stock turnover → profitability.

Debtors turnover → Combined ratio

fixed asset turnover → Combined ratio

Total asset turnover → combined

capital employed → Combined ratio.

profitability ratio

profitability.

Return on sale → Combined ratio

Return on total Asset → Combined ration.

Return on shareholder equity → Combined

Returns on capital employed → Combined ratio

Land: otherwise referred to as property could be situated in a rural or urban area. On one hand while on the other hand it could be referred to as undeveloped, developing or developed land.

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5) Stock Market Ratio

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statement.

Balance Sh

...the things to look out for in a land:-
...of the land
...of development
) the appropriate value of the property involved
) the stability of the property.
) The permission / Right of ownership.
The location of the land: Ideally, the
loan land is more expensive than rura
and, that, not-withstanding we must
lso engage the service of an estate valuer
, ascertain the value of the land. The bank
ould not ordinarily submit to the mere
state of the customers or his claim.
ven where he claims an estate surveyors
rtificate of valuation the bank must go
e extra mile of ascertaining the true
orth of the estate command. The bank
hould know at this point that the value
the undesty security i.e the property
o be tendered will be the last resort
or the purpose of recovery. It's loan
nd the property must at least be twice
igher above the loan borrowed. eg
you are borrowing ₦50 million, the money
ou are to put down must be twice
e loan i.e the land if sold, must worth
wice of the money borrowed.

the bank should also check if there
s any encumbrance or limitation on
that property eg previous borrowing
by the customer using the same
property that pushes the bank to
the position of second or third
mortgagee etc.

Plant & Machinery: Basically, almost
all the requirement applicable to land
and building are relevant to plant
and machinery. However, while L&B
are Immovable, plant and machinery
are movable. Besides the more plant
are utilised the more obsolete they
become and less valuable (i.e they
lose value.) on the other hand
for L&B, the older the L&B, the
higher the value they command.
Note: some question to note However, some special
attention are to be given to Plant & M:
i) Is the machine obsolete?
ii) Is the machine producing at full
capacity or under capacity?

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Current Asset.

*Stock: Closing stock is the most illiquid asset under current asset.

What are the two questions to consider

A) Danger when there is too much stock

B) Problem or danger of having (carrying too little stock. (i.e when we have little stock (stock-out)

A) Danger when there is too much stock

i) Incures high carrying (holding cost) cost which includes; 1) cost of maintenance
ii) cost of warehousing and his attendance cost.
iii) cost of lighten and heating
iv) cost of obsolescence (outdated
v) cost of leakage.
vi) cost of deterioration (wear & tear or spoiling)
vii) Opportunity cost of tieing down money in stock.

B) Danger of carrying (having too little stock

i) Likelihood of incuring a stock out cost i.e you do not have any stock at all.
ii) Where raw material ran out of stock there is (automatic) stoppage of production activities.
iii) some machines are programmed in a manner that they must (Constru) work i.e they must not stop abrupt
iv) Where there is stock-out, customer confidence will be lost or eroded.
v) Where there is potential stock-out a firm may have to buy at (exhorbitant) price so as to have (it storehouse or wa) stock house fees (stock house filled.

Debtors: How to run the affair of de

Equity Verse Debt.

Where a company uses more equity debt, the following are the Impact:

Advantages of equity over debt

1) no risk of liquidation (note it is loan creditors that can liquidate a com
ii) Equity allows a firm to raise mor money.
iii) Management expert can be recruit into the firms board of directors
iv) ordinary dividend which is a reward for Investing in ordinary shares are not compulsorily paid b the firm as it can retained.

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...a company uses more debt than
...ity, the following are the merit.
Tax deductibility advantage of using
terest rate (i.e with interest on loan, the tax
...den on a firm is less or reduced.).
) The use of debt ensures discipline in the
...ation and management of affected company
using debt instrument to raise money is
heaper & easier for a company than using equ
ty eg debenture.
) Decision making for debture is easier
, make. (since the debenture holders are few.
There is no dilusion of ownership
) Debt is easier for a company raise
han equity.

...k2
DR Olademeji
Topic: Bank lending Environment.
ank lending is very important function of
e banking system, providing liquidity in
e economy, profitability of the banks
rough the interest charged as well as
pacting on the economic growth rate
rld the business network of nations.
banking sector helps to make credit
ailable by mobilizing funds from surplus
nits (savers) who have no immediate
eeds for such funds in form of credit
and thus channel such fund to the
deficit unit (investors). who has
ideas on how to create additional
wealth in the economy but lack the
necessary capital to execute such
ideas. this is done through the
process called "financial intermediation"

Nature of bank lending.
Commercial banks are business enthe
which are established for the pur
-pose of carrying out banking
operation with the aim of earning
reasonable returns for the share
-holder. This implies that such
org cannot be operated effective
-ly and efficiently without inte
-nal laws, regulations and
procedures for transacting bus
activities. Hence, the need for
operating policies by commercial
banks cannot be over emphasized.
The bank is a financial inter
-mediary for the safe-guardin
transferring, exchanging or len
-ding of money. When custo
deposit their money with a
bank they are giving t

...difference ... formate

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Bank the permission to lend the money. This borrowed money is what is used for the loans to the bank customers. The bank pays a smaller amount of interest to the customers who allow them to borrow the money (deposits) & charges a larger amount of interest to the customers they lend the money to. The bank therefore makes money from the difference between the interest. (diff btw my 8% interest and the 15% interest they lend out is their interest).

They prolong crisis with banking sector crisis, liquidity an Unprecedented policie intervention, and protracted low interest rate has altered the market environment in which financial firms and investors operates.

Financial frauds and banking standards has additional determined the already low confidence in the sector and raise concern about the structural flaws in the way banks operate and are being regulated and supervised.

Also, misconducted is still wide spread in the financial services industry. The banking regulations in Nigeria embodies various regulations & supervisory regulation. The primary legislation that regulates & direct affair of banks in Nigeria is "BOFIA" Banks and other financial Institution Act. This Act grant the CBN the power & authority to supervise and regulate all banks and other financial institutions in Nigeria.

Other laws regulating banking activities in Nigeria includes-

i) NDIC Act No 23 of 1988 (check confirm the date)
ii) CBN Act of 1958.
iii) CAMA 1990 Companys Allied matters
iv) The Foreign exchange (Monitoring and miscellaneous provision) Act of 1995
v) FRCN → financial Reporting Council of Nigeria Act 2011
vi) MPC → Monetary policy Committee section 12 (of CBN Act)

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Objectives of bank lending:

) To stimulate economic growth and development: i.e accumulation of deposited funds that is given to Investors to Invest in the economy, which will result to economic growth

) Encourage Savings and Investment: payment of Interest encourages the depositors to deposit more since the lending environment encourages saves.

i) To maintain Maximum profitability to shareholders and liquidity to nvestors:

v) To realise/achieve government policy objective: This implies that the govt wants to ensure that the environment is developed and one of the ways to achieve it is to ensure lending activity is done accurately. eg If the govt wants to mop up money in Circulation they will increase the Interest rate & If the govt wants to make more money available in the economy, they reduce the Interest rate.

Basic Reasons for the management of lending of Credit

1) Safeguarding the funds of depositors
2) Generating enough funds to meet depositors demand.
3) Ensuring profitability of their operations
4) Protecting the Interest of their shareholders.
5) Ensuring effecient administration of lending and credit
6) Ensuring positive capital base for their Operation
7) Protecting the value of shares in the Capital Market.
8) To aid the growth of Industrial undertaking.
9) Creating Conducive environment for economic development.

Principles of bank-lending policies: behind underlying

1. Safety: This explains how save the funds deposited will be. This should be the first policy to consider i.e the bank considering the amount of fund safety.

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safety is the most important principle in good lending.

ii) Liquidity: Ability to repay back funds borrowed on demand i.e customer borrowing the fund must be able to pay back within a reasonable period of time.

iii) Profitability: This is possible since loans are granted with the aim of the banks making or earning ~~promit~~ profit

4) Diversification: This explains that the funds or deposits the banks get should not be borrowed to only one sectors, the bank must diversify the funds to different sectors. i.e dont concentrate your loan to only one sector of the economy.

5) Stability: The bank ensuring the project they want to fund has a stable life. Do not fund high risky businesses that can collapse any time. Therefore the stability of the business is of essence.

6) purpose: Banks consider the purpose of loan before giving out loan by Monitoring the loan the given, con because

-ening the risk on the loans and a

-the returns that will be rethrised

on the loan given.

question: 1 major areas to consider when bank wants t formulat polic

Major areas of bank policies on len

i.e Critical areas banks should consid

1) Loan limit: each banks has policy is set to guard the loan limit by th officers of the bank. i.e before allow your bank offices lend out money, their s some limit that must be placed by the project. This came into been becaus of high level of default by some customers. There are some loans tha the bank managers will not appro (BCC) We have "Board credit committe" & Management credit committee. <M.

2) Loan supervision: It is very Import for banks to set polices on loan supervision. you need to address th following un

The

i) Teams to be constituted for chec & balance

ii) Superior officers to be incharge of report and evaluation.

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) Time lines for periodic review of loan
ortfolio (at what point in time do you required the loan)
) Number of loan recovery visit to customers
who are non beneficiary.
) Rate of interest to charge in line
ith the prevailing market rate & the
ank rate.
ii) The Repayment drive (that will keep on
llowing up to ensure loans are repaid
ii) Keep pace with our liquidity position
s needs.
) Credit Risk management: Ensuring (→ try to limit our exposure so our loan will not become bad.)
e manage or limit your loss. i.e ens
uring proper credit risk management
e considering how we manage our
xposure (i.e the loan given out).
2 single obligor principle must be consi
ered as more than 20% of the bank depos
uld not be given to only one person.
Management of difficult loan
neficiary: A means should be
vised to deal or manage difficult
an beneficiary. i.e devising a
ans to manage problem loans on
se beneficiaries. (It is advised
f to take them to court and
id out the best procedure to
llow them in order to ensure
repayment of the loan.
5) Monitoring customers account
6) Monitoring and Review of cus
tomers Case: (old deal can be repackage when u monitor ur customers, then u get the ability to advise ur bank)
* It is essencial to monitor custom
account since some of the customer
collect overdraft from the bank.
Question: When the bank wants to consider formulate bank lending policy, they consider 4 major areas of bank policies on lending:

14/02/22. FIN 417

Topic: Introduction to (Securities for banker's Advance.)

Security is any thing of value either
can asset etc. The value is in relation
to the amount you want to borrow from
the bank eg if you want to borrow
1 million from the bank, you must
present an asset that worth 1 million.
Condition precedent, to drawn down i.e
before you get your loan, there are
some conditions that must be fulfilled.

Features of a good securities

1) Non-encumbrance: That is, the
security I want to you to borrow from
the bank must not have not been
used to borrow from else where

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i.e the collateral must be free from any form of conflict from a third party e.g The land you want to borrow money should be free from family conflict or must have not been used to borrow money elsewhere. This act led to the introduction of database where adequate information of a property is provided.

2) Stability of price and the ease of value: The item you want to use for collateral must relatively be stable in price i.e the price should not be subject to fluctuation i.e it should have a fixed price i.e is why the major acceptable asset for loan is landable asset that appreciate in value.

3) Legal Acceptability: The item used for collateral must be legally acceptable eg Crypo-currency is not legally acceptable in Nigeria or Contra-band items cannot be accepted.

4) Adequacy of the security: Adequacy of the item in terms of value i.e the item used for security must be adequate vise-a-vise the loan acquired.

5) proper documentation: Documentation of loan is very important. most of the times why we have bad debt is poor improper documentation and when this occur the loan is bad.

6) Ownership & possession: The borrower must be the owner of the asset and the borrower must be in possession of the asset. The possession is the document required for the claim on the asset especially for moveable securities where extra care is of essence.

7) Income generation / Loan maintenance cost: There are some items the bank collects as a collateral the bank spend much to maintain the asset. The bank should ensure that the maintenance cost is minimal and it is income generating

8) Marketability: The item collected as collateral must be marketable i.e there should

be buyers for that asset. i.e it must be marketable and you must be able to dispose or sell it in case of default:

3) Liquidity: which ever item collateral as security must be asset that can be easily convertible into cash. i.e: Acid test ratio: The formular requires the deduction of stock bcos stock is illiquid i.e stock cannot be easily convertible into cash.

Forms of Security. i.e there are diff btw forms & types of security

There are two major form of security:

i) Personal security ii) Non-Personal

i) Personal security: This is a security that is in form of a person. We have 2 types:

i) Personal guarantee: < someone of good networth, eg life assurance policy etc.

ii) Non-personal security: eg stocks < goods >, share certificates etc. and under bankers Advance includes the land surface and everything beneath and above the land. Types of land property

We have i) Lease hold land and

i) free hold land

* free hold: This is when one has absolute title to that land i.e the title to the land is indefinite i.e he can remain the owner of the land for ever. The ownership of the land is forever.

Lease hold land: This is when the period of the land ownership is specific i.e it is stated. eg leasing a land for 50 years.

land can be divided also into.

ii) In perfecting our land we have

i) legal mortgage

ii) Equitable mortgage

Mortgage is related to land i.e when a mortgagor uses his land to acquire a loan from the mortgagee which is the bank.

Types of mortgage. mortagor -> customer mortagee -> bank

i) legal mortgage: This is when the bank requires that the mortgagor provides all the documents entitled to the land as the bank must verify all documents from the land registry to verify if the document is confirmed then the agreement will be signed, sealed & diliver -ed. All document before bee collected must have been duely signed. registered. All the document must be registered & there is possess

ii) Equitable mortgage: This requires that the document should be verified and there is no need to register the document. The possession of the land is still held by the borrower as it is possible that the same document can still be used to borrow elsewhere. This is bcos a second mortgage can take place. Eg If Kalu has a land worth ₦5 million and wants to acquire a loan of ₦500,000 from UBA, and still wants to acquire a loan of ₦1,000,000 from GBT this is going to possible showing there is a second mortgage since the worth or value of the asset is more than the loan, the customer acquired or borrowed. Under this equitable mortgage the borrower will not sign but can give the bank their document when they want to borrow indicating customers commitment.

Read: * Lien on a property
* pledge
* Letter of hypothecation

Other forms of loan

Note: Non performing loan: When the interest and the principal are due but are not been paid. It is no resolved to a bank loan

NOTE: Credit Bureau: When u collect any loan from any bank, whatever asset u use as a collateral must be properly checked and recorded to avoid the individuals from using the same asset to borrow from another manke. This was est due to the default of bank customers.

Topic: Bank Credit Organization.

DR Aloy Otuka

content

* The lending process.
* The loan organization structure.
* Types of Risk In Lending.

Note: When u are asked in exam? defined lending process, first defined what lending is before listing the lending process

DR Otewale 09/11/22.

Topic: Examination of Key Contents of Financial Statement

Fixed Asset Items.

*Land and Building: Land which includes developed and undeveloped lands is an immovable property. It is the most lucrative security for bankers advance. In accepting bands as a security for loan for bankers advise includes the following * Location * Current price * Legal document * Legal encumberances

*Location - Can be Urban or Rural for the purpose of determing the saleable value of the land

* Current price: quoted by the borrower for the customer needs the assistant of estate valuer.

Legal document: Includes governors consent, Certificate of occupancy, Conveyance.

*Legal encumberances: eg previous charges eg 1st, 2nd, 3rd charges.

* Transferable Interest: Outright sales, Leesing etc.

Plant & Machinery.

*floating charges * fixed charges.

consider the following under P&M

* Obsolete: That is outdate equipment eg printing machine of old

* Condition of the machine needs to verified.

* Saleable value/prices

* post lending state of machine eg some machine might not last for more than 5 yrs, after ending what is left is the scrap value.

Note: Furniture & fitting has the same consideration as P&M

Current Asset.

Stock: Things to consider &

The Implication of a borrowing firm carrying too much stock or Too little stock.

(A) Too much stock:

* such a company will incure warehousing cost or carrying cost under carrying cost we have:

* Lighting and heat * warehousing cost * stock keeper or warehouse keeper

Under holding cost:

* cost of deterioration.

* cost of evaporation (for gas element.

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* Discount could be incured in the process of sales i.e when u have too much good that u have to sell, you have to reduce it by selling @ discount
* Opportunity cost of money tied down to cost. * theft

Carrying Too little cost. (Implication)
1. Stock out cost which includes:
* loss of customers confidence
* buying at higher or high prices to fulfil the stock out. you can buy at normal price.
* Cost of machine break-down i.e there are some machine that will continually to be used for work, so they must surely break down.
* Loss of revenue * Loss of goodwill
* Idleness and stoppage of machine operation due to stock-out)
* There could be retrenchment as a result of inability to make production & make profit or revenue in a firm.

Debtors / Trade Debtors

These are those who buy the stock on credit. The applicable ratios is Debtors days or debt collection period. It is inappropriate to have a length debt collection period bcos this simply translate to mean that those who buy your stock in trade are tying down your money or capital to Invest on other business activities". However, your trade cycle" (i.e the difference btw your debtors days & creditors days) should be in favour of your debtors day. (i.e hastening ur debtors to pay on time, while you have a longer period to pay your creditors).

Bank / Cash

This represent the ultimate liquidity (How ever just like stock, too much or too little of these items could spell a huge loss to affected company.

Too much in the bank / cash
* Idle cash or too much cash

Too Little Cash.

you can borrow at extorbitant price or rate

Long term capital / long T. liability / Long T. source of finance, capital structure, net asset, finance - buy.

It takes the most important or vital part of a firms b/sheet bcos it handles the long-term

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survival of such company.
* Ordinary shares * Preference shares
* Retained earnings * Debentures.

They are broadly divided into two parts:

* equity * Debt.

Equity

* ordinary shares:

Advantages of Equity over debt than debt.

1. You can raise more capital using equity.
2. Equity is far less risky To mold of financing than debt financing.
3. Equity holders can be used as good decision makers in the board of directors
board of directors < Executive board of D / Non-executive b.o.d
* Dividend are not compulsory paid under equity finance as it can retained.
* Equity create a further avenue to raise future debt

Advantages of Debt over equity.

1) There is deductibility advantage of Interest rate. I.e the company will pay less tax.
2) Use of debt brings more discipline to financial magt of the company than equity.
3. It is Cheaper to raise debt capital than equity capital. equity capital requires prospectus, jingles adverts, it is quite expensive but debt is
4) To maintain the record of equity debt is {expensive high bcos they are much, but is less expensive to record debt holders bcos they are few.
5) No dillusion of ownership
6) Technically, the use of debt increases market value of a firm

Trade creditors

These are suppliers of trade goods for the company eg to a spair part dealer, et trade creditors are his spar part suppliers. Ideally, it is good as a company to pay up your trade debt as at when due so as to attract favour from your trade creditor however, it is well known that firms are more disposed to call for their outstanding trade debts owed by their debtors than the amount they owe their trade creditors

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Bank Overdraft

Issues like this are put under cons -ideration:

1) Is there any security underlying such overdraft

2) will such security tie down under the loan affect the bank position

Accurals.

Profit and Loss A/c.

① sales: Secure a sales plan for the loan period. (i.e projected or forecast sales plan) then back it up with good documentation.

ii) A projected cash flow statement

iii) A projected value added statement

* Cost of sales; opening stock + Purchases = COGAS - Closing stock = cost of sales.

* opening stock: Too much or too little has effect

* purchases is def based on the amount you have. [i.e It considers where to buy]

General Expenses

How you spend your money.

Often times, the lending bank will always advise the potential borrower to cut-off its expendi -ture (i.e unnecessary expenditure) particularly management expenditure

Interest on debt

The higher the interest, the higher the loan.

When a firm pays to much Interest based on high loan, what are Implication [highly geared comp]

* there is no cash flow

* Risk of liquidation.

Tax

you can avoid excess tax by claiming your due allowance.

eg building roads, sponsorship.

Aversion of Tax: is trying not to pay tax through illegal means.

Earning per share: / DPS.

EPS:

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